NowAI: the AI back office for Azerbaijani small businesses

Six-page narrative with appendices. As of 6 November 2026.

Where we stand. NowAI has no product, no customers, no revenue and no money raised. No accountant, practice or dealer has been contacted. The only demo uses synthetic data, which means made-up data. Every NowAI number below is a model result, an estimate or a target. Labels: *model* is arithmetic on our inputs, *estimate* is our judgement with no data behind it, *reported* means a published source, and *target* is a plan.

The bottom line

NowAI would sell an AI back office to small businesses in Azerbaijan. It would reach them through the accountants they already use. The first product would be NowAI Books. It would read a client's invoices, receipts and bank statements. It would prepare checked entries for 1C, the accounting software that appears most often in accountant job ads. The accountant would approve every entry and file under their own signature.

We chose this route for one reason. About 97% of Azerbaijani small and medium enterprises (SMEs) are micro firms, the smallest class. They pay little and rarely buy software alone. An accounting practice serves many of them, so one sale reaches many clients.

The numbers are honest and they are hard. In the Base case of our model, NowAI has 81 paying practices after 36 months. Annual recurring revenue (ARR, the yearly value of subscriptions in force on a date) is then 741,364 AZN. On Azerbaijani subscriptions alone, cash runs out around month 45. The model shows no operating profit within 60 months. It assumes 1,500,000 AZN of starting cash, about USD 0.9M. That money has not been raised.

Azerbaijan is too small to reach $1B by itself. The realistic ceiling here is about USD 2.35M of revenue a year, which is 2.4% of the $1B target. A $1B value would need roughly 180,000 to 330,000 paying firms, several countries and money from payments that flow through the product. That is a stretch. The likely good outcome is a sale to a larger software company. At the price Visma paid per client for Conta Azul, NowAI would be worth about USD 7.4M at 2,477 clients, or about USD 72M at 24,000 clients (model).

We propose 90 days to test one question: do practices pay? We would interview 20 practices, measure how late business invoices run at 30 firms, get a written legal answer on payments, and run a pilot with 10 practices. If fewer than 3 of the 10 pay, we stop.

The customer and the problem

The first buyer is the owner of an accounting practice. A practice is an accounting firm or outsourcer that keeps the books for several small companies. Its clients are the SMEs. We do not know how many practices exist. This is the largest gap in our research. The only count we have is 226 audit bodies at the end of 2023. Our research says audit bodies are not the main bookkeeping channel for SMEs.

Azerbaijan had 424,437 active SMEs in 2024 (verified). Of these, 410,913 were micro, 9,737 small and 3,787 medium (reported). On 1 October 2026 there were 62,414 active VAT payers (reported). VAT is the 18% sales tax. So at least 85% of SMEs sit outside VAT (model). An independent review called that too tidy, because the two counts come from different dates.

Selling to these firms one by one does not pay. At the Light price of 5 AZN a month, gross profit is about 2.58 AZN a client (model). That cannot fund a field sale. Local prices are low. A freelance bookkeeper asks about 100 AZN a month (estimate, thin evidence). Banks already run their own AI tools and are slow to buy, so they are not our customer.

What problem do these firms and their accountants have? Survey evidence does not show bookkeeping as a top pain. In the World Bank Enterprise Survey of 2024, tax rates were the most-named obstacle, at 16.5% of 368 firms (reported). On another question, 81% of firms said tax rates were no obstacle. Bookkeeping did not appear as an obstacle at all.

Our case rests on two other facts. SMEs buy accounting help through accountants. And the rules change every year, which creates work. Four things changed in January 2026 (verified). Card sales on a point-of-sale (POS) terminal count at 0.5 toward the 200,000 AZN limit for simplified tax, a flat 2% of revenue. A 6% rate applies to POS services. E-invoice timing rules tightened. Income tax on staff pay applies again, at 3% in 2026. A VAT-registered firm with staff files or pays about 25 times a year (estimate). That is steady work for an accountant.

Time is cheap here, and that limits our price. Accountant job ads show 600 to 2,000 AZN a month (reported, mostly 2023 or older). The model uses 1,200 AZN, so an accountant hour costs 10.20 AZN. The real competitor is the cheap human accountant.

What the latest $1B companies teach

Crunchbase counted 195 companies joining its list of private firms valued at $1B or more in the first half of 2026, against 193 in all of 2025. We read the closest cases. Appendix B has the figures and Appendix G the sources.

Accountants work as a channel in rich countries. Pennylane in France was valued at about USD 4.25B in January 2026. It serves about 800,000 firms through about 6,000 accounting partners (reported). Basis in the US sells AI agents only to accounting firms. An agent is a program that does one job with an AI model. Basis reached USD 1.15B in February 2026. Rillet won accounting firms as partners and reached USD 1B in August 2026.

In emerging markets the same model stopped short. Omie in Brazil was valued at about USD 700M before its 2025 round. It has about 180,000 clients after about 12 years. Conta Azul was reported sold to Visma for about USD 300M in 2025, with about 100,000 clients. Software fees alone have a ceiling here.

Small home markets need the money flow. Every company we found at $1B from a home market under about 40 million people either owned the money flow or sold globally early. Uzum in Uzbekistan, Kaspi.kz in Kazakhstan and Tabby in the Gulf are in the first group. Insider from Türkiye and Picsart from Armenia are in the second. Toast earned about 82% of its 2025 revenue from payments and financial services. The smaller the customer, the more a company needs money flow. Yearly revenue per customer is about USD 18,750 at Vanta and 600 at Omie. At our launch price it is about USD 100 (model). Vanta and Avoca passed $1B with no money layer. Their customers pay far more per task.

Winners start narrow. Avoca began with missed calls at plumbers and Serval with IT tickets. A legal push helps. Pennylane had French e-invoicing rules.

Do not run the books yourself. Bench sold bookkeeping with people inside and shut down on 27 December 2024. Pilot reached USD 1.2B in March 2021 and we found no priced round since. Our reading is that AI must cut the labour per client.

Agents need people. DataSnipper had about 130 staff at USD 1B, the smallest back-office company we found. Nobody did this with 10 to 15 people.

We found no Azerbaijani company at or near $1B. That rests on a few searches.

The product

NowAI is five agents on one shared core. We build them in this order: Books, then Cash, then Tax, then People, then Comply.

NowAI Books

Books would be the launch product, sold as Accountant Autopilot. It would read invoices, receipts and bank statements from many client companies, in Azerbaijani and Russian. It would prepare checked entries for 1C or similar software. It would reconcile the bank, which means matching each bank line to a document. It would match e-qaimə, the state electronic invoice. It would keep each client's filing calendar.

Version one is narrower. An independent review advised starting with document intake and bank reconciliation, sold as an add-on to 1C. E-qaimə matching and the filing calendar follow. We plan to work through 1C import files. Whether 1C dealers, the firms that resell 1C, will help us is unknown.

The client learns nothing new. The owner photographs a receipt and sends it to one WhatsApp number in the practice's name. NowAI would read it and put it in the accountant's queue. If a page is missing, it would ask the client in Azerbaijani or Russian. Before a deadline it would list the missing documents. The client never signs, files or approves anything there. This is a hypothesis, because we do not know how clients send documents today.

In the accountant's web app, the photo sits beside the proposed entry, with a one-line reason for each line. The accountant approves, edits or rejects, and each edit teaches NowAI that client's habits.

The accountant approval rule

Every entry waits for an accountant's click. At launch NowAI posts nothing and sends nothing on its own. The accountant files under their own signature, using their own ASAN İmza, the state electronic signature. NowAI never holds a client's ASAN İmza.

Two reasons support the rule. First, the law. Under the stricter reading we use, chief accountants of commercial firms must hold a certificate, so a certified person must stand behind the books. No rule we found lets software file or sign. A lawyer must confirm both points. Second, trust. Viasoft, a local vendor of business management software, says AI should not post on its own, because an accounting mistake is hard to undo. Approval takes time, and the model counts the time saved after approval.

NowAI Cash

Cash comes second. It shows who owes the client, whom the client owes, and sends reminders. It forecasts cash. It could collect and pay through a licensed payment partner such as Epoint or Payriff. NowAI would never hold the money. No partner has been contacted and the legal route is unconfirmed. NowAI would earn a share of the partner's fee. Those fees are not published. A forecast must also show VAT held in the ƏDV deposit account, a tax-service account for VAT on purchases, or it overstates cash (estimate).

Cash moved up because of evidence from other countries. Local evidence is the weakest of all 12 pains we ranked. We found no Azerbaijani data on late payment between firms, and the independent review failed the reminders idea until 30 firms are measured. So two checks come first: measure overdue invoices at 30 firms, and get a written legal answer.

The upside is easy to state. A firm with 600,000 AZN of credit sales a year that gets paid 15 days sooner frees 24,658 AZN. At the 18.6% rate on new manat loans, that saves 4,586 AZN a year (model). The 15 days is an estimate with no data. The model prices the reminder module at 30 AZN a month.

Tax, People and Comply

Tax keeps the filing calendar, pre-checks declarations and alerts on rule changes. It leaves out the lightest clients, because the state already pre-fills the simplified-tax declaration. It cannot lower tax rates, but it can cut work and errors. People tracks the 2026 to 2028 payroll changes and prepares data for EMAS, the Ministry of Labour platform where labour contracts are e-signed. We found no public way for software to connect to EMAS, so People prepares data for manual entry. Comply covers cash-register and POS rules, where fines are 1,000, 3,000 and 6,000 AZN for the first, second and third breach in a year (verified).

We follow a rule of three. A new agent is built only when three paying practices ask for it. Cash is the one exception. All five agents share one core, built once. From about month 12 we plan an internal builder that sets up new clients and drafts the rules of a new country. It is for our own use, not for sale, and it is unproven.

Price

The practice pays per client company each month. Light is 5 AZN for up to 50 documents. Standard is 15 AZN for up to 200. Heavy is 60 AZN for up to 1,000. These are targets and are untested. At an assumed mix of 50% Light, 40% Standard and 10% Heavy, the blended price is 14.50 AZN a client. A practice with 30 clients pays 435 AZN a month (model). Each pilot starts with one free month. Dealers would keep 20% of revenue on practices they bring (estimate, no data).

How it works behind the screen

Follow one receipt through the planned design. A client sends a photo on WhatsApp. An intake service saves the original, finds the client it belongs to, rejects duplicates and checks that the photo is sharp. A reader, which is a commercial AI model, turns the photo into fields: supplier, tax ID, date, lines, VAT and total. Easy documents go to a small, cheap model and hard ones to a larger model. Checks follow. The lines must add to the total, the VAT must be right and the document must not be a duplicate. The Books agent then proposes a balanced entry, where debits equal credits, with a reason for each line. The entry waits in the approval queue. After the accountant approves it, one database write puts it in the ledger, the permanent books, with an audit record. It goes into the next 1C import file, and the client gets a short confirmation.

Eight parts support that path. We build most and buy the rest. Front doors are a WhatsApp number through a business provider (bought), a web app for the accountant (built) and a 1C file at launch, with a small connector near the accountant's 1C from about month 12. Intake and the reader come next. The agent brain is one engine that runs every agent. Knowledge holds each client's memory and the rules library. Client memory keeps the chart of accounts, which is the list of accounts a company books to, plus usual suppliers and past corrections. The rules library holds written, versioned rules for VAT treatment and for which expense goes to which account. A chartered accountant writes them. This library is our moat. Records are the ledger, which never edits an entry, and an audit trail that shows which model and rule version proposed each entry and who approved it. A correction is a new reversing entry. The approval queue is the safety gate, and nothing moves without a click.

Outside systems are files first. We found no public interface for software to reach e-qaimə, the tax cabinet or EMAS. We import e-qaimə exports and bank statement files, and we will ask the State Tax Service for integrator access, which means permission for outside software to connect. The foundation is hosting, which means the servers that run NowAI, plus monitoring and the test set. Agents never hold passwords or keys, and a separate service holds them. The test set is a bank of past documents with accountant-approved answers. Every change must pass it before it goes live. We build it before the agents.

Costs are modelled and unquoted. Reading one document costs 0.0425 AZN (model). Direct cost per client is 5.72 AZN a month. That is 4.36 for documents, 0.36 for WhatsApp messages and 1.00 for cloud and storage. Connector fees are set at 0 AZN because we have no quote, and hosting has no quote either. No rule we found requires servers in Azerbaijan. Yet client documents will pass through foreign AI and WhatsApp services, and a lawyer must say whether that needs client consent. We will get one in-country hosting quote and then state the design. A separate design study put model cost near 2.3 AZN a client a month. The two figures must be reconciled, and we use the model.

The main technical risk is reading accuracy. No benchmark exists for reading Azerbaijani receipts with any engine. The 200-receipt test in days 31 to 60 decides it. The second risk is 1C reach. An accountant's 1C often sits on a local PC that the internet cannot reach. A small connector beside it is the realistic route, and files are the fallback. The model assumes a core team of 5, so some roles, such as the chartered accountant who writes the rules, will be shared.

Why accountants

One sale brings many clients. The model assumes 30 clients per practice (estimate, no data). Pennylane has about 133 SMEs per accounting firm (model, from 800,000 and 6,000). A field sale to one micro firm at 5 AZN a month cannot pay for itself. A sale to a practice can.

The accountant is also the person who must approve the work. SMEs buy accounting help through them, and a certified human has to stand behind the books. So the channel and the law point the same way.

The value to a practice is thin, so we say it plainly. A practice with 30 clients pays 435 AZN a month. That is 6.6% of the 6,600 AZN it earns from them at assumed fees (model). In Base, the model assumes NowAI saves it 102.5 hours a month. Nothing has been timed. Those hours are worth 1,046 AZN at the accountant's cost, which we call labour value. They are worth 1,234 AZN if the practice sells the freed time to new clients, which we call capacity value. Our screen asks for value of at least 2.5 times the price. Base scores 2.40 on labour and 2.84 on capacity, so it passes only on capacity. Conservative fails both. Labour value turns into cash only if the practice avoids a hire.

We found no product on sale that does this whole job for practices. Several local products do parts of it. AI One Docs reads scanned invoices. Bitax and Complex.az run cloud accounting. 1C connectors handle e-qaimə files. Appendix C lists them. The gap is a workflow, not a technology. It is narrow and unprotected. Rivals already hold the plumbing and could copy the first step in a release. Absence of a search hit is not absence of a product.

Other forces work against us. A freelance bookkeeper near 100 AZN a month caps what a practice will pay for a tool. Firms that sell accounting services to SMEs must employ at least two certified accountants, which may shrink the pool of formal practices (reported, summary only). The state controls data access and is rebuilding e-mühasibat, its system for filing financial statements.

The economics, honestly

Everything here is model output on inputs nobody has tested. No practice has been asked.

Result	Conservative	Base	Optimistic
Clients per practice (estimate)	20	30	50
Paying practices after 36 months	26.9	81.3	196.4
ARR after 36 months, AZN	112,854	741,364	3,643,801
ARR after 36 months, USD	66,385	436,097	2,143,412
Cash at month 36, AZN	-21,070	197,454	1,457,420
Month cash runs out	36	45	Not in 60
First month with an operating profit	None in 60	None in 60	25
Extra funding needed within 60 months, AZN	981,472	313,736	0

Start with the margin. Gross margin, which is revenue less direct cost as a share of revenue, is 60.6% at the launch price and 71.4% at the year-3 price (model). That is before connector and hosting quotes. If reading costs USD 0.03 a page, not 0.01, the launch margin falls to 24.5%. At USD 0.05 it is -11.5%.

Now the price path. Revenue per client in Base is 14.50 AZN in year 1, 17.50 in year 2 and 22.98 in year 3. The rise comes from extra modules, and we invented their take-up. Cash reminders supply all 3.00 AZN of the year-2 module revenue and 6.00 of the 8.48 AZN in year 3. If they do not sell, Base runs out of cash in month 42 and needs 460,185 AZN within 60 months. At the year-3 price, the labour score falls to 1.52.

Break-even is far away. A team of 12 needs 364 paying practices at launch prices and 189 at the year-3 price. With the dealer share it needs 448 and 224. Nobody knows how many practices exist. Base needs 432 meetings in 36 months, against 33 named prospects.

The only price hint in our research is a flat 50 to 150 AZN a month per practice. At 30 clients that is 1.67 to 5.00 AZN a client, below our direct cost of 5.72 AZN. At those prices the model never breaks even. If the client mix is 80% Light, 18% Standard and 2% Heavy, the blended price is 7.90 AZN and break-even is 719 practices.

VAT can tip the verdict. NowAI itself passes the 200,000 AZN limit in month 23 in Base and must then add 18% VAT. A 30-client practice turns over 79,200 AZN a year and probably cannot reclaim it. If it cannot, Base fails both value screens. Support pay of 1,800 AZN a month also flatters cash. At 5,500 AZN, month-36 cash is -668 AZN.

The funding figure is not the full need. Base shows 313,736 AZN of extra funding within 60 months, but cash is still falling at month 60. At month 36 it holds 197,454 AZN, about 7.1 months of cash.

One choice matters more than any other we tested. E-qaimə matching sits inside Books and earns nothing. If it were sold as a module at 100% take-up, Base would not run out of cash within 60 months and would show an operating profit from month 50. That is a test on a copy of the model, and the decision is still open.

The route to $1B and the likely outcome

Here is the arithmetic. A $1B value at 10 times revenue needs USD 100M of ARR, which is 170,000,000 AZN a year. The 10 times is not cautious, because Omie was valued at about 6 times its reported revenue. At 22.98 AZN per client a month, that takes 616,613 client companies. At 80 AZN, close to Omie's level, it takes 177,084.

A second sum uses what buyers paid per client. Conta Azul sold for about USD 3,000 a client and Omie was valued at about USD 3,889. At those prices $1B takes 257,143 to 333,334 clients. The two sums agree: $1B means roughly 180,000 to 330,000 paying firms. Omie has about 180,000 after about 12 years.

Azerbaijan cannot supply them. It has 48,363 legal-person SMEs. If NowAI won 30% of them at 22.98 AZN a month (estimate, no data), revenue would be USD 2,353,002 a year, or 2.4% of the $1B target. Winning all of them gives USD 7,843,341, or 7.8%. The five countries we consider hold 8,698,605 SMEs. $1B needs 11.2% of them at the launch price, or 7.1% at the year-3 price. Their definitions differ, so read that as a test and not a market size.

A money layer helps but does not close the gap. In Azerbaijan, the model reaches 32.29 AZN per client a month with Books, modules and an assumed money layer of 9.31 AZN. Omie earns about 86 AZN. Every money-layer input is an estimate with no data, and partner fees are not published.

The table shows what would have to happen. Steps 1 and 2 read the Base case. Steps 3 to 5 are what you would need to believe (target). Capital is planned, not raised.

Step	By when	Practices	Client firms	AZN per client a month	Revenue a year, USD	Value at 10x, USD	Team	Capital, USD
0. Prove it in Azerbaijan	First 90 days	3	90	0	0	0	3	882,353
1. Books live	Year 1	13	403	14.50	41,242	412,421	5	882,353
2. Azerbaijan leader, Cash added	Year 3	81	2,477	24.95	436,097	4,360,966	10	882,353
3. Three countries, money flow live	Year 5	800	24,000	35.00	5,929,412	59,294,118	40	10,000,000
4. Five countries	Year 7	3,000	90,000	50.00	31,764,706	317,647,059	120	50,000,000
5. Reach USD 1B	Year 10	6,000	180,000	80.00	101,647,059	1,016,470,588	250	150,000,000

There are three routes. The main one is regional money flow. It needs 180,000 or more firms and is a long shot. The draft country order is Georgia, Uzbekistan and Kazakhstan, with Türkiye last (estimate). The document reader ports to a new country, but posting rules and e-invoice formats must be rebuilt for each one. These countries all run on an accountant, 1C and an e-invoice that is mandatory or being phased in. That is our inference and it is unproven.

The second route is a higher-price market. Bookkeeping costs 15 to 70 times more in the UAE and Saudi Arabia (reported, from accountant marketing pages). A small UAE firm pays about USD 270 to 680 a month and a small Saudi firm about USD 133 to 667 (estimates). A Baku team would need native Arabic, a certified e-invoicing provider, a local licensed partner and probably local hosting. Wafeq, Qoyod, Zoho Books and OCTA are ahead. A plausible result is a few million dollars a year, and not a route to $1B on its own (estimate).

The third route is a strategic sale, which means selling the company to a larger software firm. This is the most likely good outcome. Visma bought Conta Azul and Xero bought Melio. At Conta Azul's price per client, NowAI would be

worth about USD 7.4M at 2,477 clients and USD 72M at 24,000 (model). These are our sums. No buyer has been approached.

Money is the first condition. Base cash runs out in month 45, before step 3 in year 5, so new funding is a condition of step 2. Local start-up money is thin: about USD 2.6M across 22 start-ups in 2025 (reported). Our 1,500,000 AZN start is about a third of that. The path needs USD 10M by year 5 and USD 150M by year 10. People are the second condition. We plan on 5 to 12 people until the product is proven. The path ends at 250 staff, and the smallest back-office company at $1B had about 130.

Each step has a gate, listed in Appendix E.

The first 90 days

Nothing below has started and no start date is set. We make all outreach ourselves.

Days 1 to 30. Interview 20 accounting practices and 10 in-house accountants. Nothing gets built before these interviews. Appendix E lists the questions. Talk to a 1C dealer, starting with Best Soft, about import formats and resale terms. Ask the State Tax Service, VAT Portal, the labour ministry and the ASAN İmza and SİMA operator about integrator access. Hold one legal session on data terms before any client document arrives. Collect one anonymised month of documents from 5 practices, with client consent.

Days 1 to 60. Measure overdue invoices at 30 firms that sell to other businesses, such as distributors and building suppliers. We record the share overdue and the days late. Get a written answer from the Central Bank or a lawyer on payment links through a licensed partner, with NowAI never holding money.

Days 31 to 60. Build the test set first. Then build intake for the five most common document types, a 1C import file, bank reconciliation and an approval screen. Test reading on 200 or more real local receipts. Time documents by hand and with the tool.

Days 61 to 90. Run a pilot with 10 practices. Each gets one free month, then pays the tier prices. Each signs a paid order for month 2 before the free month starts. The free month fills these days, so no payment can be seen by day 90. We read signed orders on day 90 and cash paid around day 120.

The kill test is whether practices pay. Six of 10 paying is the proof bar. Fewer than 3 of 10 is the kill line. Three to five means we do not scale, and we fix price or scope. Time saved should reach 30% of client hours, timed before and after, and a result under 15% is a warning. For Cash, we proceed only if the typical firm has 20% or more of receivables over 30 days late. A result under 10% in most firms stops Cash and removes the Base price path. It does not stop Books. Appendix E has every test.

What would prove us wrong

Demand. We are wrong if fewer than 3 of 10 pilot practices pay. We are also wrong if practices insist on a flat fee of 50 to 150 AZN a firm, or refuse a per-client fee near 100 AZN because a freelance bookkeeper costs that much. We are wrong if Azerbaijan has fewer practices than break-even needs, which is 189 to 448 for a team of 12. If practices refuse to share documents, there is no product. If their clients are mostly Light, near 80%, the blended price drops to 7.90 AZN and break-even rises to 719 practices.

The product. We are wrong if reading accuracy is low, or custom reading near USD 0.03 to 0.05 a page is needed. We are wrong if timed tests save near or under 15% of hours. 1C dealers may refuse, or 1C import may prove unworkable. A rival may ship the same workflow at a lower price. A free state tool may start booking entries for practices. A lawyer may say the design must change.

Costs. Quotes for hosting and connectors may push the margin well below 60.6%. Service creep is the Bench trap. We are wrong if support hours stay near 12 a practice instead of 4, because hands-on onboarding would need 40 people at 400 practices, against 17 when standardised.

Cash. The overdue test may show little late payment. The legal answer on payment links may be no, or partner terms may leave no margin. Either result stops the money layer and not Books.

Outcome. The ceiling may be too small. If investors will not back a regional path, the plan ends as a local business or a sale.

Appendix A. The model in numbers

All figures are model results on untested inputs unless marked. Prices are AZN a month per client company, before VAT. USD uses 1.7 AZN per USD, the founder's rate, which is not checked.

A1. One practice with 30 clients, at launch prices. Mix: 15 Light, 12 Standard and 3 Heavy clients.

Result	Conservative	Base	Optimistic
Monthly NowAI bill, AZN	435	435	435
Hours saved a month (assumed)	46.1	102.5	199.9
Labour value, AZN a month	470	1,046	2,039
Capacity value, AZN a month	272	1,234	3,540
Value / price on labour	1.08x	2.40x	4.69x
Value / price on capacity	0.63x	2.84x	8.14x
Verdict against the 2.5x screen	Fails both	Passes only on capacity	Passes on labour alone
Share of all client hours saved (bar 30%, warning 15%)	14.6%	27.9%	42.6%
Labour value / price at the year-3 price	0.90x	1.52x	2.20x
Verdict if VAT cannot be reclaimed	Fails both	Fails both	Passes on labour alone

A2. Revenue and cost per client.

Line, AZN a month	Launch price	Year-3 target
Revenue per client	14.50	22.98
Direct cost	5.72	6.56
Gross margin	60.6%	71.4%
Contribution, no dealer	7.33	14.11
Contribution with the dealer share	5.96	11.94

Revenue per client by year (target): Conservative 14.50, 16.00, 17.50. Base 14.50, 17.50, 22.98. Optimistic 14.50, 21.48, 30.93.

A3. Tiers. Documents a month are an estimate with no data.

Tier	Price, AZN	Document limit	Typical documents	Direct cost, AZN	Gross margin	Margin at the limit
Light	5	50	25	2.42	51.5%	30.3%
Standard	15	200	100	5.61	62.6%	34.3%
Heavy	60	1,000	500	22.61	62.3%	26.9%

A4. Break-even, paying practices.

Team	Fixed cost a month, AZN	Launch price	Year-3 price
6	47,000	214	112
9	63,500	289	150
12	80,000	364	189

A5. Stress tests on Base. Each row changes one input. Tests were run on a copy of the model.

Test	Result
Client mix 70 / 25 / 5	Blended price 10.25 AZN. Break-even 534 practices. Cash runs out in month 43
Client mix 80 / 18 / 2	Blended price 7.90 AZN. Break-even 719 practices
Reading cost USD 0.03 a page	Launch gross margin 24.5%. Break-even 1,267 practices
Reading cost USD 0.05 a page	Launch gross margin -11.5%. Break-even never at launch prices
Flat 50, 100 or 150 AZN a practice	Gross margin -243.0%, -71.5%, -14.3%. Break-even never
Support at 5,500 AZN, not 2,142 loaded	Cash at month 36 is -668 AZN. Runs out in month 36
E-qaimə matching sold as a module, 100% take-up	Cash never runs out in 60 months. Operating profit from month 50
Cash reminders do not sell	Cash runs out in month 42. Funding needed 460,185 AZN

A6. Funnel and assumptions behind the three cases (all estimates, no data).

Input or result	Conservative	Base	Optimistic
Meetings with practices a month	8	12	16
Meetings that become pilots	15%	25%	35%
Pilots that become paying practices	40%	60%	70%
Monthly churn (share of practices lost)	3%	2%	1%
Practices added through 1C dealers a month, from month 13 (target)	1	2	4
Meetings needed over 36 months	288	432	576
Gross paying practices won over 36 months	38.4	105.6	225.4
Share of the 226 audit bodies	17.0%	46.7%	99.7%

A7. Share of each pool that $1B at 10x would need. Over 100% means the pool is too small.

Pool	Count	Date and label	At 14.50 AZN	At 22.98 AZN
Azerbaijan VAT payers	62,414	1 Oct 2026, reported	1,565%	988%
Azerbaijan legal-person SMEs	48,363	2024, reported	2,020%	1,275%
Azerbaijan all active SMEs	424,437	2024, verified	230%	145%
Kazakhstan operating SMEs	2,180,000	1 Jan 2026, verified	45%	28%
Uzbekistan small businesses	1,236,126	1 Jul 2026, verified	79%	50%
Georgia active enterprises (upper limit)	921,500	2023, reported	106%	67%
Türkiye SMEs	3,936,542	2024, reported	25%	16%
All five countries	8,698,605	model	11.2%	7.1%

A8. What buyers paid per client, and revenue per customer.

Company	Value, USD	Clients	Value per client, USD	Clients NowAI needs for USD 1B
Conta Azul (sold to Visma, Aug 2025)	300,000,000	100,000	3,000	333,334
Omie (pre-money, 2025)	700,000,000	180,000	3,889	257,143
Pennylane (Jan 2026)	4,250,000,000	800,000	5,313	188,236
Tide (Sep 2025)	1,500,000,000	1,600,000	938	1,066,667
Gusto (Jun 2025)	9,300,000,000	500,000	18,600	53,764

Company	Revenue per customer a year, USD	Money layer
NowAI, launch price (model)	102	No
NowAI, Base year 3 (model)	162	Partly
Omie	606	Adding one
Qonto	950	Yes
Melio	1,913	Yes
Gusto (cash collected, not ARR)	2,000	Partly
Vanta	18,750	No
Slash	50,000	Yes

A9. Revenue per client in Azerbaijan once money flow is live, AZN a month. Every input is an estimate with no data.

Line	AZN
Books at the launch price	14.50
Modules, Base year 3	8.48
Collections: 150,000 AZN of yearly sales, 15% through payment links, 0.4% share of the fee	7.50
Supplier payments: bills at 70% of sales, 15% paid through NowAI, 0.1% share	1.31
Invoice-finance referrals: 3% of clients, 20,000 AZN, 1% fee	0.50
Money layer	9.31
Total revenue per client	32.29
Gap to Omie's revenue per client	53.57

Appendix B. Companies and what they prove

Context only. These markets are far larger than ours, and none of this is a forecast for NowAI.

Company	What it does	Value and date	Scale	Label
Pennylane (France)	Accounting platform shared by SMEs and accountants	About USD 4.25B, Jan 2026	About 800,000 firms, about 6,000 accounting partners	Reported
Basis (US)	AI agents for accounting firms	USD 1.15B, Feb 2026	About 30% of the top 25 US firms (company claim)	Confirmed
Rillet (US)	AI accounting system for finance teams	USD 1B, Aug 2026	600+ customers	Reported
DataSnipper (Netherlands)	Plug-in inside Excel for audit teams	USD 1B, Feb 2024	About 130 staff	Reported
Omie (Brazil)	Software sold through accountants	About USD 700M pre-money, 2025	About 180,000 clients, about 600M reais a year	Reported
Conta Azul (Brazil)	Software sold through accountants	About USD 300M sale to Visma, Aug 2025	About 100,000 clients	Reported
Paraşüt (Türkiye)	Cloud pre-accounting	Sold 2019, price undisclosed	11,000+ clients at sale	Reported
Bench (Canada)	Bookkeeping software plus human bookkeepers	Shut 27 Dec 2024	About 650 staff	Reported
Pilot (US)	Done-for-you bookkeeping	USD 1.2B, Mar 2021	No priced round found since	Confirmed
Qonto (France)	Business account and finance tools	EUR 4.4B, Jan 2022	About 600,000 customers	Value confirmed
Gusto (US)	Payroll, HR, benefits	USD 9.3B, Jun 2025 employee share sale	More than 500,000 customers	Reported
Vanta (US)	Compliance automation	USD 4.15B, Jul 2025	ARR above USD 300M, 16,000+ customers	Reported
Melio (US)	Bill payments	Bought by Xero for USD 2.5B upfront	80,000 customers, USD 153M revenue FY25	Confirmed
Toast (US)	Restaurant software and payments	Public	About 82% of 2025 revenue from fintech	Confirmed
Uzum (Uzbekistan)	Marketplace, then bank and payments	USD 2.3B pre-money, Mar 2026	2025 revenue USD 691M, net profit USD 176M (company, unaudited)	Reported
Kaspi.kz (Kazakhstan)	Payments, marketplace, bank	About USD 16B market cap, May 2026	Public	Reported
Tabby (Saudi Arabia, UAE)	Buy now, pay later	USD 6.5B, Sep 2026	Not stated	Confirmed
Alif (Tajikistan)	Fintech	About USD 100M, 2021	Nearest in size to Azerbaijan	Reported

What each case proves, and what it does not. Pennylane proves that accountants can be a channel at scale. It does not prove this works at very low prices in a market of tiny firms. Basis proves that investors pay for AI sold to accounting firms. It discloses no revenue, and its buyers are large US firms. Omie and Conta Azul prove that software through accountants builds real businesses in emerging markets. They also show the ceiling. Bench is the warning for any company that prices human-heavy work like software. Kaspi.kz and Uzum show that owning payments first lets software follow. Vanta shows that a forced checklist is a strong first product, for buyers who can pay.

Figures we left out because the sources are weak: Wonderful's revenue and staff beyond about 350, Avoca's revenue, Insider's value range, Tide's revenue and Lovable's revenue at its first $1B round.

Appendix C. Local competition

We found no product on sale that does this whole job for practices. Absence of a search hit is not absence of a product. Threat is our judgement.

Name	What it does	Threat
Audit and outsourcing firms (Crowe ABAK, RSM) and freelance bookkeepers	Human outsourced accounting. Fees not public. Freelancers near 100 AZN a month (thin)	High. The cheap human accountant caps the price
1C through local dealers, including Best Soft	The accounting platform in most accountant job ads	Low as a rival. High as the system we must write into
AI One Docs	Reads scanned invoices into structured data	Medium-high. The only local product found doing the first step
Bitax	Local cloud accounting. Paid plans not priced yet	Medium. Could add AI
Complex.az	Local cloud ERP, 50-2,000 AZN a month, claims an AI module	Medium. Aimed at mid-size firms
GW Audit, GW Accounting	Platform from an audit firm, in development	Medium. Could bundle it with its own service
1C connectors for e-qaimə	Data processors that upload and download e-invoices	Medium. Rivals already hold the plumbing
State tools: e-taxes cabinet, e-qaimə, e-mühasibat	Free portals for filing. They do not book entries	Low as a substitute. Medium as a dependency
Bank business apps	Payments and balances. No invoicing or accounting found	Low today. Medium if a bank bundles accounting
Viasoft	Business software on open-source ERPNext. Pushes leaving 1C. Cautious on AI posting	Low to medium
AHK and SMB Agency AI platform	Announced June 2025. No features or launch found	Low now

Appendix D. Rules and what a lawyer must confirm

Key rules we use (verified or reported, 2026): only heads of micro and small firms and sole traders may keep their own books, and other firms need an accountant or outsourcer. the base limit for simplified tax and VAT is 200,000 AZN over any 12 months. POS card sales count at 0.5 from 1 January 2026. Simplified tax is 2% of revenue. VAT is 18% and profit tax 20%. VAT, payroll withholding and simplified tax are due by the 20th. A labour contract takes effect only when e-signed on EMAS. The accountant files with their own ASAN İmza or as registered e-representative. No rule we found lets software file or sign. No public interface for e-qaimə, the tax cabinet or EMAS was found.

Personal data law No. 998-IIIQ allows cross-border transfer if the receiving country gives equal protection, or with the person's consent. A new version was under review in October 2025. Holding or moving client money needs a Central Bank licence. A link through a licensed partner that pays the merchant directly looks workable, but that is our reasoning and not a ruling.

Eleven points need a lawyer.

1. Which chief accountants must hold a certificate, and whether a micro firm's accounts need one's signature.
2. The exact text of the two-certified-accountants rule, and whether freelance bookkeepers may serve legal entities.
3. What software may prepare, and how the e-representative route works when a practice uses NowAI.
4. Who is liable for a wrong entry or wrong tax answer, and what the contract with a practice must say.
5. Whether NowAI is a data processor under the personal data law, and whether the system must be registered.
6. Tax secrecy when a practice shares client documents with software.
7. Whether reading documents on foreign cloud services is a cross-border transfer that needs consent.
8. Whether client documents and reminders may go through WhatsApp, and what consent is needed.
9. The enacted text of the simplified-tax and VAT limit.
10. NowAI's own VAT position, and whether practices can reclaim the VAT.
11. For later agents: payment links through a licensed partner, paid help on state loans, and liability for drafting labour contracts.

Appendix E. Interview questions and tests

We plan to ask all 20 practices the following. How many clients do you serve and how many accountants do you have? How many clients are simplified-tax micro firms, VAT-paying small firms and larger firms? What do you charge each type a month? What do you pay an accountant, net and gross? How many hours and how many

minutes per document does each type take? Which software and which 1C version do you use? How do clients send you documents today? Would you let software message your clients on WhatsApp in your name? Would you pay per client or a flat fee, and how much? Would you absorb the cost or pass it on? Is your practice VAT-registered? Would you share one anonymised month of documents, and what would stop you? Do your clients sell on credit, and would they want reminders sent to their buyers? Which job do you want next: cash, tax, payroll or compliance?

Test	Proof	Kill or warning
Do practices pay?	6 of 10 pilot practices pay	Fewer than 3 of 10 pay. With 3 to 5, do not scale
Will practices share documents?	5 practices give one anonymised month	Practices refuse
Time per client	30% less, timed before and after	Warning under 15%
Entry quality	90% or more of entries accepted unchanged	None set
Contracted scale	300+ client companies under contract	None set. 6 practices at 30 clients gives only 180
Reading	Accuracy measured on 200+ real receipts	None set. No benchmark exists
Overdue invoices (gate for Cash)	Typical firm has 20% or more of receivables over 30 days late	Under 10% in most firms, or owners refuse reminders
Payment route (gate for Cash)	Written answer that a software firm may work through a licensed partner	Written answer says no

Gates on the path. To leave step 0, we need reading accuracy on 200 or more real receipts, 30% of client hours saved, three practices that agree to pay, overdue invoices measured at 30 firms and a written legal answer on payments. Step 1 needs practices that renew after the free month and entries approved with few edits. Step 2 needs Cash to add revenue in real clients and new funding. Step 3 needs a licensed payment partner live, a second country at the same accuracy in under six months and an internal builder that cuts set-up time. Step 4 needs money flow to earn as much as subscriptions. Step 5 needs about Pennylane's number of partner firms and Omie's revenue per client.

Appendix F. First conversations and glossary

These are public names from desk research. None has been contacted. Many are not practices, and their size is mostly unknown. The first route is our judgement.

Name	Type	First route
E-muhasibat.az	Outsourced small-business accounting	Interview the owner. Ask for one anonymised month of documents
ACON	Accounting and tax outsourcer	Interview the owner. Ask for a timed test on one client's month
Accounting.Az LLC	Accounting and payroll outsourcer	Interview the managing partner about smaller clients
Caspian Legal Center	Tax, accounting and payroll practice	Interview the head of payroll and tax accounting
DLB.AZ	Accounting for foreign businesses, uses Odoo	Interview the owner. Tests a route outside 1C
Crowe ABAK	Audit firm, outsourcing, 1C implementer	Talk to the outsourcing lead about both roles
Best Soft LLC	1C partner and dealer	Dealer talk on import formats and resale terms
Chamber of Auditors	Audit regulator and association	Ask for the registry and a speaking slot. A regulator, not a buyer

Glossary. **ARR** is annual recurring revenue, the yearly value of subscriptions in force on a date. **SME** is a small or medium enterprise. **Practice** is an accounting firm or outsourcer that keeps books for several small companies. **1C** is accounting software. **e-qaimə** is the state electronic invoice. **ASAN İmza** and **SİMA İmza** are state electronic signatures. **EMAS** is the Ministry of Labour platform for e-signed labour contracts. **VAT** (ƏDV in Azerbaijani) is value-added tax at 18%. **ƏDV deposit account** is a tax-service account for VAT on purchases. **Reconciliation** is matching bank lines to documents. **Ledger** is the permanent record of entries. **Gross margin** is revenue less direct cost, as a share of revenue. **Contribution** is what one client adds after direct and sales costs. **Pre-money** is a valuation before new investment. **Break-even** is the point where revenue covers all costs. **Churn** is the monthly share of customers lost. **Strategic sale** is a sale of the company to a larger firm. **Test set** is a bank of past documents with approved answers that every change must pass.

Appendix G. Sources

Source	Where
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